REVISION 2021 SEMESTER 1 COURSE CODE: 1252

Business Economics

Foundation Course for Diploma in Computer Application and Business Management

Download Study Notes

Official Source Declaration

This lesson is strictly based on the official **SITTTR Kerala Revision 2021 Syllabus** for Course Code **1252 (Business Economics)**.

- **Authoritative Source:** SITTTR Kerala Syllabus PDF (4 Pages).
- **Department:** Computer Application & Business Management.
- **Note:** While the syllabus lists "Series Exam (2 Hours)" in the Course Outcomes table, the Module Outline specifies "Series Test-I (1 Hour)" and "Series Test-II (1 Hour)". This lesson covers both as per the official timeline.

Course Dashboard

Credits

3

Total Periods

45

Category

Foundation Course

Teaching Scheme

Lecture (L)	Tutorial (T)	Practical (P)	Total Periods/Week
3	0	0	3

How to Study this Lesson

This lesson is designed for the Rev2021 Business Economics curriculum. Follow these steps:

1. **Understand the Basics:** Start with Module 1 to grasp the fundamental definitions of Economics.
2. **Analyze Curves:** Pay attention to the Demand and Supply curves in Module 2.
3. **Connect to Business:** Module 3 and 4 link economic theory to actual production and market structures.
4. **Practice Numericals:** Use the Elasticity and National Income formulas in the Formula Bank.

Course Outcomes (CO)

CO No.	Description	Hours	Cognitive Level
CO1	Summarize the nature, scope and fundamental concepts of Managerial Economics	10	Understanding
CO2	Explain the concepts of demand, supply and laws of demand and supply	13	Applying
CO3	Summarize the basic concepts of production	10	Applying
CO4	Identify market and its forms, and explain the concept of National Income	10	Applying

CO-PO Mapping

All Course Outcomes (CO1-CO4) are **Strongly Mapped (Level 3)** to PO1.

Syllabus Coverage Map

Module	Key Topics Covered	Official Hours
1	Definitions, Wants, Goods, Wealth vs Welfare, Utility, LDMU	10
2	Demand, Supply, Elasticity, Law of Demand/Supply	13
3	Production Function, Factors, Costs, Scales of Production	10
4	Market Forms (Monopoly, etc.), National Income (GDP, GNP)	10

Learning Roadmap

Foundation: Economics Definitions & Utility (Mod 1) → **Market Forces:** Demand & Supply (Mod 2) → **Firm Behavior:** Production & Costs (Mod 3) → **Macro View:** Market Structures & National Income (Mod 4).

Module 1

Nature, Scope and Fundamental Concepts

10 Hours | Understanding Level

1.1 Economics & Managerial Economics

Economics is the study of how society manages its scarce resources. **Managerial Economics** is the application of economic theory and methodology to business decision-making.

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1.2 Definitions of Economics

- **Wealth Definition (Adam Smith):** Economics is the science of wealth.
- **Welfare Definition (Alfred Marshall):** Study of mankind in the ordinary business of life.
- **Scarcity Definition (Lionel Robbins):** Study of human behavior as a relationship between ends and scarce means.

1.3 Human Wants & Goods

Wants: Desires for goods and services. Characteristics: Unlimited, recurring, complementary, competitive.

Classification of Goods: Free vs Economic goods, Consumer vs Producer goods, Perishable vs Durable goods.

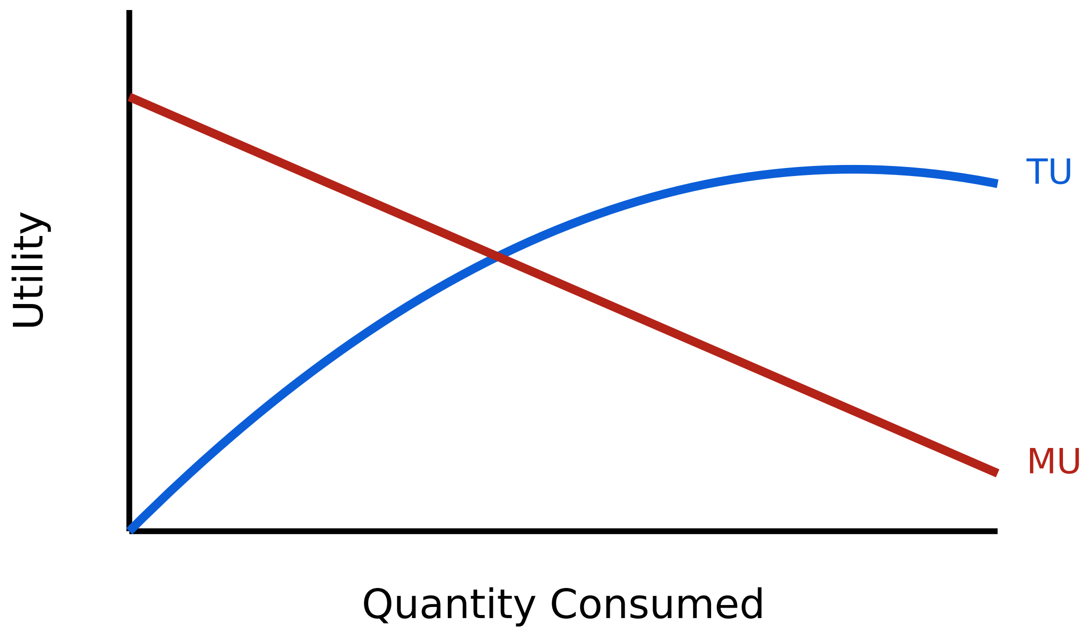
1.4 Wealth, Welfare, Value & Price

Term	Meaning
Wealth	Stock of assets that have exchange value.
Welfare	Well-being or happiness of the people.
Value	Power of a commodity to command other goods (Value-in-exchange).
Price	Value of a commodity expressed in terms of money.

1.5 Utility & Law of Diminishing Marginal Utility (LDMU)

Utility: Want-satisfying power of a commodity. Kinds: Form, Place, Time, Service utility.

LDMU: As a consumer consumes more units of a commodity, the marginal utility derived from each successive unit goes on diminishing.



Total Utility (TU) and Marginal Utility (MU) relationship.

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Demand, Supply and Elasticity

13 Hours | Applying Level

2.1 Demand Analysis

Demand: Desire backed by ability and willingness to pay. **Law of Demand:** Other things remaining constant, when price increases, demand decreases, and vice versa.

Factors Affecting Demand:

- Price of the commodity
- Income of the consumer
- Price of related goods (Substitutes/Complements)
- Tastes and Preferences

Demand Schedule Example:

Price (₹)	Qty Demanded
10	100
20	80
30	60

2.2 Elasticity of Demand

The responsiveness of demand to a change in price, income, or price of related goods.

Price Elasticity (Ep) = (% Change in Qty Demanded) / (% Change in Price)

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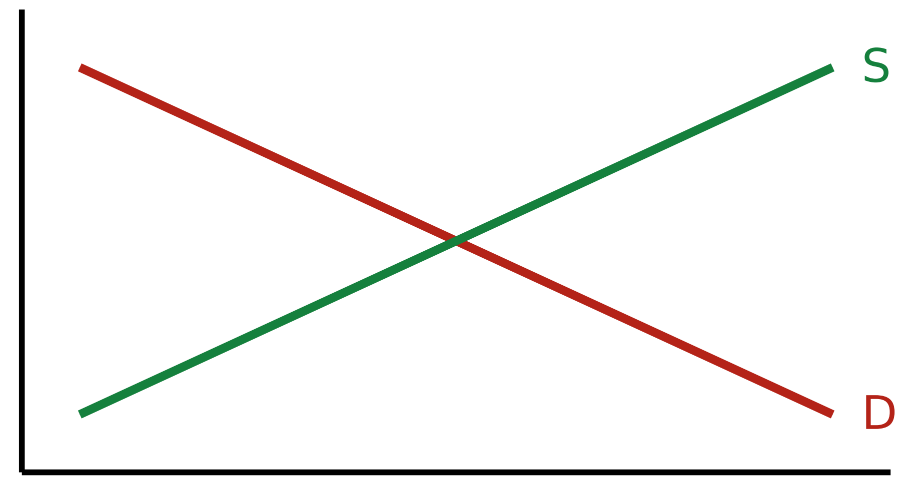
2.3 Law of Supply

Supply: Quantity offered for sale at a price. **Law of Supply:** Direct relationship between price and supply (Price ↑ Supply ↑).



Interaction of Demand (D) and Supply (S) curves.

Module 3

Concepts of Production

10 Hours | Applying Level

3.1 Production & Production Function

Production: Transformation of inputs into outputs. **Production Function:** Mathematical relationship between physical inputs and physical output.

$$Q = f(L, K, N, T)$$

Where Q=Output, L=Labour, K=Capital, N=Land, T=Technology

3.2 Factors of Production

Land: All natural resources. Reward: Rent.

Labour: Physical/Mental effort. Reward: Wages.

Capital: Man-made instruments. Reward: Interest.

Organization: Risk-taking/Management. Reward: Profit.

3.3 Scales of Production

Scale	Advantages	Disadvantages
Large Scale	Division of labour, economies of scale, better tech.	High capital, management complexity, risk of overproduction.

Scale	Advantages	Disadvantages
Small Scale	Personal attention, flexibility, low capital.	Lack of division of labour, high cost per unit.

Module 4

Market Forms and National Income

10 Hours | Applying Level

4.1 Market Forms

Perfect Competition: Many buyers/sellers, homogeneous product, free entry/exit.

Monopoly: Single seller, no close substitutes, barriers to entry.

Monopolistic Competition: Many sellers, differentiated products (e.g., soaps).

Oligopoly: Few large sellers, interdependence (e.g., telecom).

4.2 National Income Concepts

Total value of all final goods and services produced in a country in a year.

- **GDP (Gross Domestic Product):** Total value within domestic territory.
- **GNP (Gross National Product):** GDP + Net Factor Income from Abroad.
- **NNP (Net National Product):** GNP - Depreciation.
- **Per Capita Income:** National Income / Total Population.

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Official Activities

Self-Learning Activities

- Prepare a demand schedule for a common household item (e.g., Milk or Sugar).
- Visit a local small-scale industry and list its factors of production.
- Identify examples of Monopoly and Oligopoly in the Indian market.

Formula Bank

Price Elasticity

$Ed = (\Delta Q / \Delta P) \times (P / Q)$

Per Capita Income

PCI = National Income / Population

NNP

NNP = GNP - Depreciation

Marginal Utility

$MU_n = TU_n - TU_{n-1}$

Visual Library

LDMU Curve

Shows relationship between TU and MU.

View Diagram

Demand/Supply Curve

Shows market equilibrium.

View Diagram

Market Types

Comparison of competition levels.

View Section

Assessment Methodology

Official CIE (Internal)

- Series Test I: 20 Marks
- Series Test II: 20 Marks
- Assignments/Attendance: 10 Marks
- **Total CIE: 50 Marks**

Official ESE (External)

- End Semester Exam: 100 Marks
- Duration: 3 Hours
- Pattern: Part A (Short), Part B (Medium), Part C (Long).

Module-wise Questions & Answers

Module 1

Define Managerial Economics. (2 Marks)

Managerial Economics is the branch of economics that applies economic theory and decision science tools to solve managerial problems and help in business decision-making.

Module 2

State the Law of Demand. (3 Marks)

The Law of Demand states that, other things being equal (ceteris paribus), there is an inverse relationship between the price of a commodity and its quantity demanded. When price rises, demand falls; when price falls, demand rises.

Module 3

What are the four factors of production? (5 Marks)

1. **Land:** Natural resources (Reward: Rent).
2. **Labour:** Human effort (Reward: Wages).
3. **Capital:** Man-made assets like machinery (Reward: Interest).
4. **Organization/Entrepreneurship:** Coordinating the other three factors (Reward: Profit).

Module 4

Distinguish between GDP and GNP. (5 Marks)

GDP (Gross Domestic Product) measures the value of goods and services produced within a country's borders. GNP (Gross National Product) measures the value of goods and services produced by a country's citizens, regardless of where they are located. GNP = GDP + Net Factor Income from Abroad.

Practice Model Paper

Note: This is a practice paper based on the syllabus, not an official examination paper.

Part A (Short Answer - 2 Marks each)

1. Define 'Scarcity' according to Robbins.
2. What is 'Form Utility'?
3. Define 'Income Elasticity of Demand'.

Part B (Medium Answer - 5 Marks each)

1. Explain the characteristics of human wants.
2. Discuss the exceptions to the Law of Demand.
3. Explain the advantages of large-scale production.

Part C (Long Answer - 10 Marks each)

1. State and explain the Law of Diminishing Marginal Utility with a schedule and diagram.
2. Compare the features of Perfect Competition and Monopoly.

Quick Revision

Key Points

- Economics = Wealth (Smith), Welfare (Marshall), Scarcity (Robbins).
- Demand Curve slopes downward; Supply Curve slopes upward.
- Market Equilibrium: Demand = Supply.
- NNP = GNP - Depreciation.

Exam Checklist

- [ ] LDMU Diagram & Table
- [ ] Demand/Supply Curves
- [ ] Factors of Production Rewards
- [ ] National Income Components

Glossary

Ceteris Paribus	Other things being equal.
Marginal Utility	Additional utility from consuming one more unit.
Oligopoly	Market with a few large sellers.
Depreciation	Wear and tear of capital assets over time.

Official References

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- Joel Dean, *Managerial Economics*, Prentice Hall.
- Dr. Roy Scaria, *Introductory Econommetrics*, Prakash Publications, 2019.
- K K Dewett & M H Navalur, *Modern Economic Theory*, S. Chand Publishers, 2016.